

Chapter Review

1-6c Practice

Multiple-Choice Questions

1. A profit-making business operating as a separate legal entity and in which ownership is divided into shares of stock is known as a:
 - a. proprietorship.
 - b. service business.
 - c. partnership.
 - d. corporation.
2. The resources owned by a business are called:
 - a. assets.
 - b. liabilities.
 - c. retained earnings.
 - d. common stock.
3. A listing of a business entity's assets, liabilities, and stockholders' equity as of a specific date is a(n):
 - a. balance sheet.
 - b. income statement.
 - c. statement of stockholders' equity.
 - d. statement of cash flows.
4. If total assets increased \$20,000 during a period and total liabilities increased

\$12,000 during the same period, the amount and direction (increase or decrease) of the change in stockholders' equity for that period is a(n):

- a. \$32,000 increase.
- b. \$32,000 decrease.
- c. \$8,000 increase.
- d. \$8,000 decrease.

5. If revenue was \$45,000, expenses were \$37,500, and dividends were \$10,000, the amount of net income or net loss would be:

- a. \$45,000 net income.
- b. \$7,500 net income.
- c. \$37,500 net loss.
- d. \$2,500 net loss.